



A COMMUNITY OF CHOICE

PLANNING AND DEVELOPMENT SERVICES

URBAN PLANNING OFFICE

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MEMO

TO: Hon. Mayor Kaysen and Members of the Cheyenne City Council

FROM: Jim Flesher, AICP, Senior Planner

SUBJECT: A Resolution authorizing the Mayor and City Clerk of the City of Cheyenne to enter into an Amended and Restated Development Agreement with Granite Peak Development, LP, Clear Creek Land Company, LLC, and Swan Ranch, LLC to define the rights and obligations of the parties relating to the annexation and future economic development of the of land generally described as the "Swan Ranch Development Area."

DATE: August 7, 2013

The attached resolution authorizes the Mayor and City Clerk to enter into an Amended and Restated Development Agreement on the City's behalf with the owner/developer of the Swan Ranch Rail Park, in order to clarify provisions of the Original Development Agreement between the parties, which was recorded May 27, 2011, and to address certain issues that were unforeseen at the time of the original agreement. Please refer to the attached resolution, Amended and Restated Development Agreement, Original Development Agreement, and Exhibits for more information.

The developer has proposed paying the City a fee of \$1,000 per acre for each acre sold (excluding those already sold and several lots under contract) in order to establish a fund for future improvements in Swan Ranch. In exchange for the fee, the developer would be absolved of any responsibility to make improvements such as widening roads, should traffic from development warrant widening.

Site developments necessitating road improvements would not be exempted from having to make improvements, however. For example, if a large traffic generator, such as a grocery store, were proposed in Swan Ranch, traffic studies would still be required with the site plan submittal and the grocery store might need to install acceleration and deceleration lanes and a traffic signal, for instance, if warranted by the traffic study.

Rough estimates of the potential income from the proposed fee upon sale of all property covered by the development agreement are in the range of \$2.5 million (approximately 2,500 acres times \$1,000). Since we don't know whether roads will require widening in the future it is difficult to assess whether this is adequate. A rough estimate of the cost of widening the roads with potential for widening (the "worst case scenario") is around \$6.2 million.

Please note that the development agreement as presented does not exempt future development from any additional impact fees that may be established to be collected on building permits. Whoever obtains the building permit for a lot is responsible for payment of the future impact fees, if adopted. Granite Peak would only have to pay such fees if they construct additional buildings themselves, rather than selling the land to builders. However, language that was initially in the proposed agreement regarding measuring traffic to establish a threshold at which the developer would be required to widen roads has been removed and replaced with the language now proposed. This removes the uncertainty of future costs for road improvements for the developer.

While the fee is not intended to replace any future street impact fee on development in Swan Ranch, it will further the discussion on such fees if we compare the proposed \$1,000 per acre fee with established impact fees in nearby communities. However, attempting to compare the fee to those collected in Greeley, Fort Collins, and Weld and Larimer Counties is also somewhat difficult because their fees are based on building size. We can use the Longhaul building (the building under construction within the annexation area) as an example although the proposed \$1,000/acre fee would not apply to it since it has already sold. The lot is 30.26 acres and the building is roughly 186,000 square feet. So, had this fee been in place when the lot sold, the City would have collected \$30,260. This would be equivalent to a fee of \$162.69 per 1,000 square feet of building based on the size of the building that was constructed. For comparison, an industrial building this size would require between \$260,400 for the City of Fort Collins and \$494,388 for Larimer County, with Greeley and Weld County falling in between. Please refer to the table below for more information.

Fort Collins	Greeley	Weld County	Larimer County
Total Fee per 1,000/SF indust. bldg.: \$1,820	Total Fee per 1,000/SF indust. bldg.: \$1,973	Total Fee per 1,000/SF indust. bldg.: \$2,195	Total Fee per 1,000/SF indust. bldg.: \$2,658
Total fee for 186,000 SF indust. bldg.:	Total fee for 186,000 SF indust. bldg.:	Total fee for 186,000 SF indust. bldg.:	Total fee for 186,000 SF indust. bldg.:
\$260,400	\$366,978	\$408,270	\$494,388
Roads, Fire, Police, & General Government (electric, water, sewer, & stormwater excluded)	Roads, Fire, & Police (water, sewer, & stormwater excluded)	Roads & County Facilities (stormwater excluded)	Roads

Please note that the table above uses the term "Roads" to include the four jurisdictions' term for the fee generally covering transportation and road improvements, which would include traffic signals and other improvements. These fees typically do not fund transit improvements such as purchase of new buses.

Section 16 on page 11 of this development agreement concerns land for a future fire station in Swan Ranch. It gives the City an exclusive five-year option to buy the 3.1-acre lot at West Wallick & Clear Creek for fair market value and states that if the grant application for a pump station is successful, the developer will donate this lot to the City. If donated, the value of the land will be credited toward any future fire station impact fees that may be established by the City that may be assessed against the developer. Since the fire station would still need to be built, equipped, and staffed, a study on impact fees for the City is still recommended.

Staff recommends adoption of the attached resolution.